

OB

Organizational Behaviour

① Nature & Scope of OB:

OB is the study of human behavior at individual, group and organizational levels & how this behavior influences organizational effectiveness. ➔

Nature:

- 1) Scientific approach:
OB uses scientific methods such as observation, experiments, and analysis to understand behavior.
Ex: This helps managers make accurate and data-based decisions instead of assumptions.
- 2) Interdisciplinary approach:
Influenced by multiple disciplines like psychology, sociology, anthropology & management.
- 3) Human-Centric Nature:
OB focuses on people, their feelings, attitudes and interactions in the organization.
→ It helps in improving employee satisfaction & relationships.
- 4) Goal-Oriented:
OB aims to achieve both individual goals and organizational goals.
→ When employees achieve their goals, it leads to organizational success.
- 5) Dynamic Nature:
Human behavior changes over time due to environment, technology, and experiences.
→ OB must adapt to new trends like remote work and digitalization.

6) System Approach:

Organization is viewed as a system where all parts are interconnected.

→ A change in one part affects the entire organization.

Scope of OB:

1) Individual behavior:

This level studies the behavior of individuals in the organization

- Personality, Perception, Learning, Motivation

2) Group Behavior:

This level focuses on behavior of people working in groups.

- Teamwork, Leadership, Communication, conflict management

3) Organizational level:

This level studies the organization as a whole system

- Organizational structure, Culture, change management, Power and Politics.

4) External Environment:

OB also studies how external factors influence behavior

It includes:-

- Economic structure, Technology, Social changes

⇒ OB is a scientific & practical field that helps in understanding & managing human behavior effectively at all levels, leading to improved productivity and organizational success.

Q2) Impact of IT

1. Improved Communication

IT tools like emails, video conferencing etc apps enable fast communication.

Ex: Zoom app

2. Remote work / work from home

It increases flexibility and allows employees to work from anywhere

3. Automation of Tasks

Repetitive tasks are automated using software and AI

4. Better Decision making

IT provides data & analytics for decision making

5. Skill Development Requirement

Employees need technical skills to adapt to IT changes.

Impact of Globalization

- Creates culturally diverse workforce.
- Requires cross-cultural understanding
- Increases competition & performance standards
- Encourages global leadership and adaptability
- Flexibility and adaptability

Impact of Diversity

1. Variety of Perspectives

Employees from different background bring new ideas -

2. Better Problem Solving

different viewpoints help in solving problems effectively

→ leads to better decision making

3. Improved Organizational Image

→ Attracts talented employees

4. Challenges in Communication

Language & cultural differences may create misunderstandings -

→ requires proper communication management

5. Need for Inclusive Practices

Organizations must treat all employees equally

→ Promotes respect & teamwork.

Q3) Ethics, Culture, Reward Systems

* Influences employee behavior, motivation, and organizational success.

Ethics

refers to moral principles and values that guide employee behavior in an organization.

→ It helps employees understand what is right and wrong.

* It promotes honest behaviour

(not manipulating financial data)

* Improves organizational Reputation

(enhances company image & brand value)

* Helps in decision making

(guides employees in making fair and just decisions)

(prevents unethical practices like corruption)

* Reduces conflicts

(create a positive work environment)

. Culture :

Organization culture is the shared value, beliefs and practices followed in an organization.

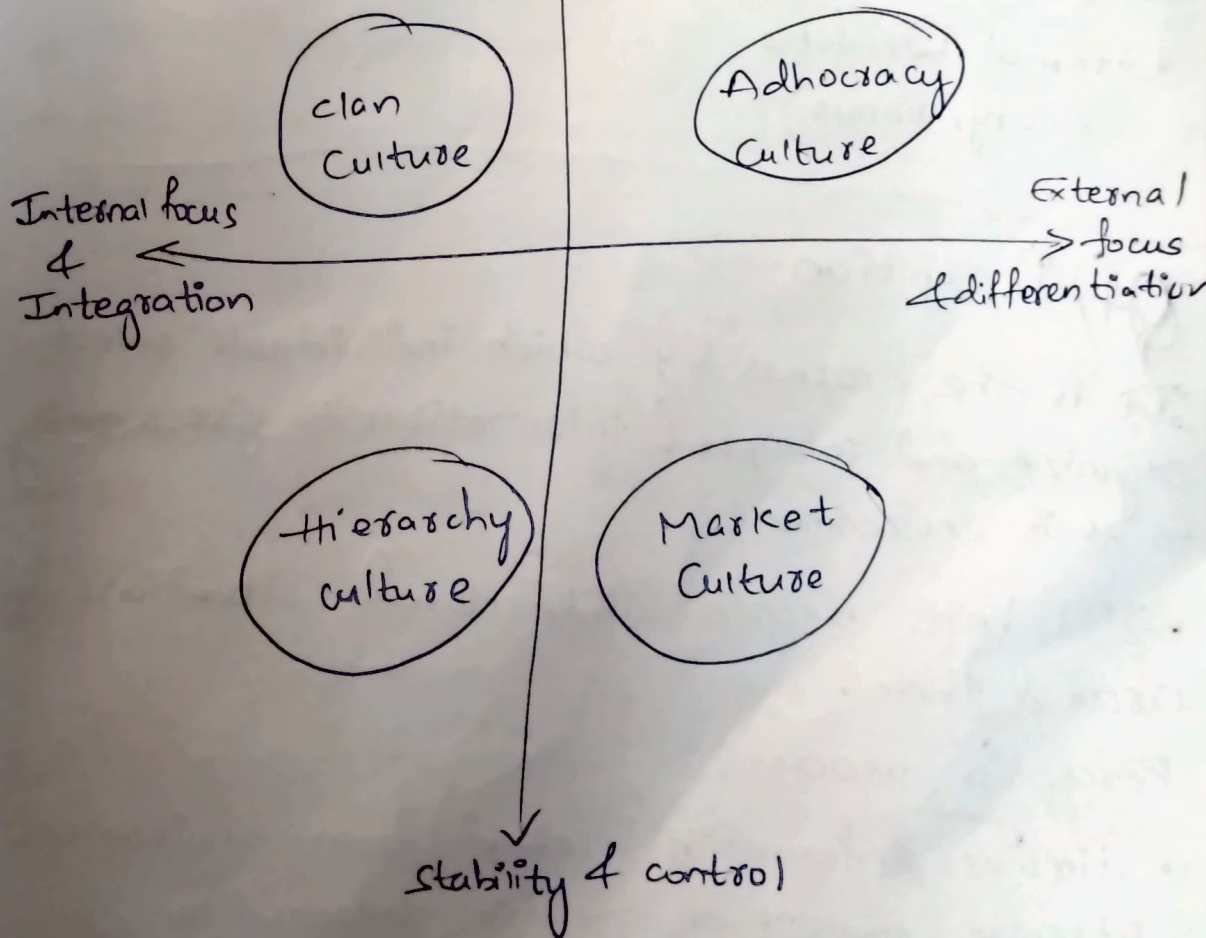
→ It defines how things are done in an organization

- * Provides Identity
- * Influences Behavior
- * Improves Coordination

* Types of Culture

→ strong Culture (leads to higher commitment & productivity)

→ weak Culture
Flexibility & discretion



Reward Systems

It refers to compensation & benefits given to employees for their work.

→ It motivates employees to perform better

→ Improves Job satisfaction

→ Increases motivation leads to higher productivity

Types of Rewards

① Intrinsic rewards -

Internal satisfaction

(recognition, achievement)

② Extrinsic rewards -

External benefits

(salary, bonus)

Q4) Perception

It is the process by which individuals select, organize, and interpret information to give meaning to their environment.

→ It helps people understand situations around them.

Perception process:

1. stimulus - information received from environment
2. Attention - focusing on specific information
3. Interpretation - Giving meaning based on experience
4. Response - Resulting behavior

→ This process explains why different people react differently to the same situation.

Factors influencing Perception

a) Perceiver factors -

includes attitude, personality, experience, expectations

b) Target Factors -

characteristics of object/person being observed

c) Situational Factors -

Time, place and context influence perception.

Importance of Perception

- * Helps in decision making
- * Affects Communication
- * Influences employee behavior
- * Good perception leads to better workplace relationships.

Social Perception

It is the process of understanding and interpreting the behavior of other people.

→ It helps employees form opinions about colleagues.

⑥ Attribution Theory: explains how people judge other's behavior

① Internal attribution: behavior caused by personal factors (ability, effort, personality)

Ex: Late to work → lazy

② External attribution: behavior caused by situational factors (luck, environment, or other people)

Ex: Late due to traffic

An employee fails due to lack of resources.

Common Errors in Social Perception

a) Halo Effect :

Joining a person based on one positive trait

Ex: Good-looking person assumed to be intelligent

b) Horn Effect :

Opposite of halo effect (one negative trait influences judgement)

Ex: One mistake leads to negative opinion.

c) stereotyping :

Judging someone based on group characteristics

Ex: Assuming all freshers lack experience

d) Projection :

Projecting one's own feelings onto others.

Ex: Assuming others think like you

Importance of Social Perception

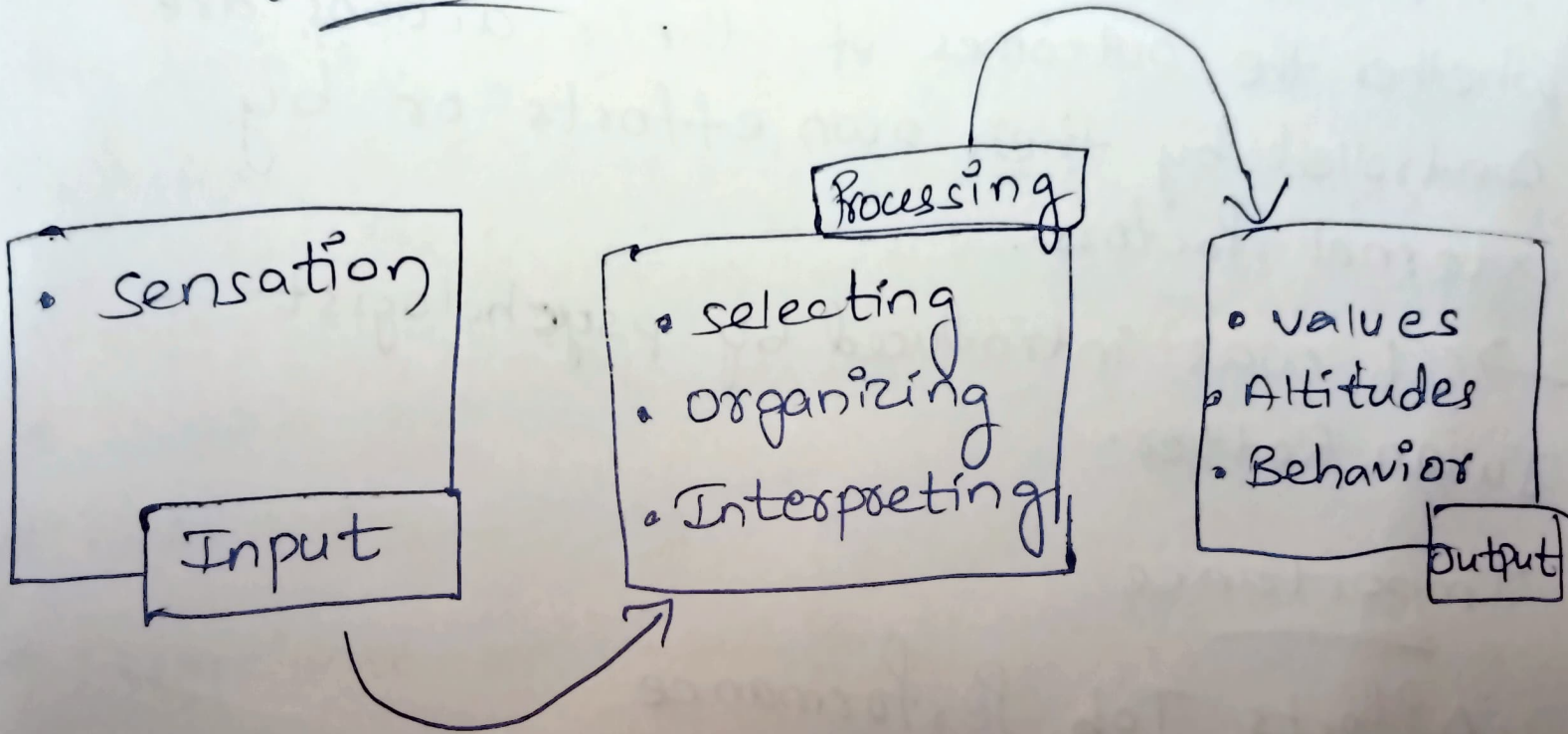
* Helps in Teamwork

* Improves communication

* Reduces conflicts

* Accurate perception leads to better relationships

Perception Process



Q5) Locus of Control

It refers to an individual's belief about whether the outcomes of their actions are controlled by their own efforts or by external factors.

→ It was introduced by psychologist Julian Rotter.

Importance

1. Affects Job Performance
2. Influences Decision Making
3. Impacts Motivation
4. Helps in Leadership Development
5. Useful for Managers.

Types:

1) Internal Locus of Control:

Individuals believe that their success or failure depends on their own efforts, abilities, and actions.

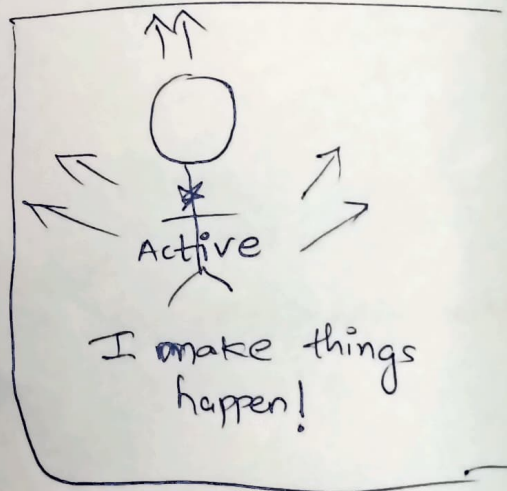
Impact:

- * Perform better
- * Show leadership qualities
- * Adapt easily to changes

Example:

An employee believes:

"I got promoted because of my hard work"

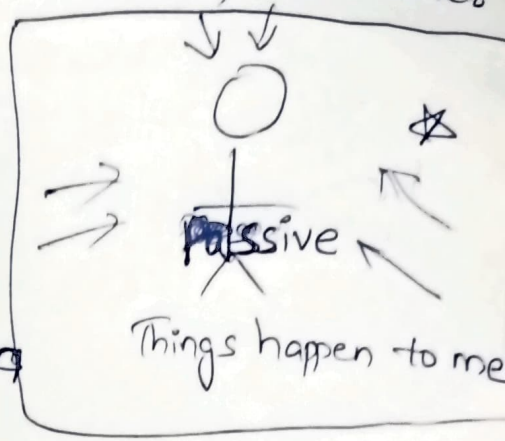


2) External Locus of Control:

Individuals believe that outcomes are controlled by external factors like luck, fate, or other people.

Impact:

- * Lower motivation
- * Less responsibility
- * Dependence on supervision



Example:

An employee believes:

"I failed because of bad luck"

Difference

Aspect	Internal Locus	External Locus
Control	self-controlled	Controlled by outside forces
Responsibility	Takes responsibility	Blames others
Motivation	High	Low
Performance	Better	Comparatively Lower